

The Purpose of the Sheets

Once the five points of the 9-point business circuit, which relates to the industry analysis, have been discussed and understood, they can be together used to form what is called an 'industry sheet'.

Industry sheet: To identify the industries that are inherently more attractive than others. Industry sheets compare various industries on common grounds and help identify the stronger or more attractive ones.

Industry sheet is an inspiration from balance sheet to bring more structure to industry research. Like balance sheets, industry sheets enhances 'understandability in a very structured way'. They provide information that is readily understandable. This means data is presented, with additional information supplied as supporting footnotes, as needed, to assist in clarification. Thus, industry sheet gives a snap view of the industry with detailed explanations in the footnotes.^[34]

This book particularly talks about the industry and thus introduces the industry sheet and the industry sheet template. Its application in various industries has also been shown. Going ahead, the entrepreneur must update the industry sheet every year to identify new developments. With a gap of a few years, the industry sheet can be compared with past sheets to identify how the industry has changed.

As an entrepreneur or analyst, spend time with the industry sheet for the next sector you are evaluating. It should act as a structured framework to determine the attractiveness of the industry.